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Gentera SAB de CV (GENTERA.MX)

Q1 2025 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good morning and welcome to the First Quarter 2025 GENTERA'S Conference Call.

Now, I would like to turn the call to Mr. Enrique Barrera, Investor Relations Officer of the company.

Sir, you may begin.

Enrique Barrera Flores

Investor Relations Officer, Gentera SAB de CV

Good morning. Thank you all for joining us and for your continued interest in GENTERA. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are Mr. Enrique Majós, GENTERA's Chief Executive Officer; and Mario Langerica, GENTERA's Chief Financial Officer. Enrique Majós and Mario Langerica will present GENTERA results for the first quarter period as per the report that was issued yesterday and will actively participate in the Q&A session of this conference call.

As a reminder, now that we're holding our conference call via Zoom, it is important to highlight that if you want to ask questions during the Q&A session of this conference call, these will only be taken if you are connected via Zoom.

Now, please note that during this presentation, GENTERA may make forward-looking statements. These do not account for future economic circumstances, industry conditions, company performance or financial results. Additional information on forward-looking statements can be found in the disclaimer located in our earnings

release. If you did not receive a copy of the release or if you have any questions, please do not hesitate to contact our Investor Relations Department in Mexico City. If you are a member of the media, we ask you to contact us directly.

I would now like to turn the call over to Mr. Enrique Majós for his presentation. Enrique, please go ahead.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Thank you. Good morning, good afternoon to everyone and welcome to our first quarter 2025 report. We appreciate your time and your interest in this call. And let me start by saying that we feel very proud to report another solid quarter for GENTERA and also a promising start of the year for each one of our subsidiaries. Our growth estimation in terms of clients and portfolio is being accomplished as expected. And at the same time, we are looking at a better quality of our loan portfolio in Mexico as well as in Peru.

As you know, this reduces our cost of risks and therefore improves our bottom line performance. It is also relevant to point out that our expenses have been slightly higher than expected, which is a natural seasonality effect that Mario will explain in a moment. And net income is already showing trends that suggest us that we will get over our initial guidance. At this point, we would like to have a better assessment and analysis through the following months. However, by the second quarter report, we could modify and increase to our original guidance. But in any case, we will let you know.

As you can see, we are looking at our first quarter that suggest a promising year. Now, as you have noted, we have been consistently delivering remarkable growth results for several quarters. If we should explain the main reason of this, we should point out two main things. The first one, we still have a big market opportunity. And the second one, we have a clear strategy and transformation initiatives that we have been deploying and developing for a while now in recent years. So, let me talk about this and about our digital transformation journey.

In the first place, we are pleased to tell you that we keep making good progress. Since the beginning, our digital transformation strategy is designed to reach two main goals. The first one to provide our customers a better and more convenient experience. And the second one to make GENTERA's operations and business results more efficient.

In order to accomplish this, we have been working on more than 300 transformation initiatives all across our business units for the last two years. This set of initiatives were created to build three main groups of new digital capabilities. In the first group, it's our digital platforms to manage our business processes. In the second one, digital payment methods to provide our customers better and safer ways of making their financial transactions. And then the third one, business intelligence capabilities and algorithms to make better business decisions. Some of the most impactful initiatives that has to do with the construction of our digital platforms to manage our credit process in Mexico, in Peru is what we have been talking about for a while now that are the digital platform for the credit process in Peru, which is called [ph] Kallpa (00:05:20) and the one in Mexico.

Another set of powerful initiatives are those related with the use of business intelligence and others to have better risk assessment tools and more efficient the cross-selling digital strategies. Actually, I'm sure you remember the chart that I shared with you last quarter in which I show how GENTERA's net income was historically growing at 6% annually before 2019. And in the recent years, net income started growing at 14% in average for the last, let's say five years.

Well, the group of initiatives that I am describing here are the ones that have enabled GENTERA to double its annual growth recently and we believe they will allow us to keep on growing above 10% in the following years. Definitely, we will keep you posted on the deployment of this initiatives.

And before opening the space to Mario to give us more information about our business results, let me talk about some relevant housekeeping matters, talking about the CEO position at Banco Compartamos Peru. As you remember, last quarter, we announced that our regulators in Peru authorized to give Compartamos the license to operate as a bank, as part of the transition from being a financial institution to becoming a bank. Ralph Guerra, our former CEO stepped down after 32 years and a remarkable career in the organization since its foundation in 1992. Ralph left the organization as of March 31st with a profound and enormous legacy and leading Compartamos Peru to the most recent accomplishment of transforming Financiera Compartamos to Banco Compartamos. On behalf of GENTERA and personally, I want to express my profound gratitude to Ralph for all these years of work, of commitment and all the joyful moments that we shared.

As of April the 1st, we are very pleased to have appointed Adolfo Peniche as a new CEO for Banco Compartamos in Peru. Adolfo has a large experience in our organization, with more than 28 years of experience in Compartamos initiative. He joined Compartamos as Branch Manager in 1997, and he has grown professionally within the organization, not only in front line positions, but also in corporate roles. The most recent responsibility Adolfo held was as GENTERA's Executive Director of People and Talent. And he also spent five successful years as CEO of our operations in Guatemala. So, help me welcoming Adolfo, and I'm sure he will foster Compartamos Bancos Peru growth and transformation plans for the following years.

Now, I would like to talk to you about some recent changes in our Board of Directors. This quarter, we are announcing a couple of changes in our Board of Directors. GENTERA has been known as a company that has always had strong corporate best practices, and we have always had outstanding people in our board team. After 17 years of service, John Santa Maria is stepping down. Since 2008, John's experience in the retail industry and as one of the most senior top executives in Mexico, has given to GENTERA enormous value along the way.

On the other hand, Luis Nicolau, who has also been a key member of our board since 2019 is also stepping down. His experience and contribution in corporate government, regulation and legal affairs has been critical for the transformation and the evolution journey of GENTERA in the recent years. So, please join us expressing our profound gratitude to Luis and to John.

Now, we want to welcome Ignacio Echevarria and Gerardo Esquivel as the two new board members in GENTERA. With more than 25 years of experience in the IT and retail business, Ignacio Echevarria will add to GENTERA his large experience in corporate management and specifically in the territory of the transformational and technological strategies and tools.

On the other hand, Gerardo Esquivel has a long and profound experience as economist in Mexico and globally. More recently, he held the position of Deputy Governor of Banco de Mexico from 2019 to 2024. We are sure that he will strongly contribute to make GENTERA a more solid and understanding company, navigating through the challenging and changing times that we are living in Mexico as well as in Peru.

I would also like to talk about the remaining 25% of ConCrédito that we are acquiring. As I mentioned in our previous call, GENTERA is in the process of reaching an agreement with our partners to acquire the remaining 25.1% of ConCrédito. The recent conversations have been very, very productive and we are certain that we will close this operation shortly and in the best interest for all its partners. We will also keep you posted on this transaction.

Finally, let me confirm you that we will be distributing the 2024 dividends according to our 40% dividend policy, 50% of the payment will be distributed on May 16, and the other 50% no later than November 28, 2025.

Well, now let me pass the call to Mario Langarica, who will provide some comment and specific information regarding our business results. And afterwards, Mario, Enrique Barrera and myself will be happy to answer any question you may have.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Thank you, Enrique, and good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique mentioned in his remarks, we are very excited with the historic and solid results that GENTERA is presenting at the start of this year. And we're very excited with the positive dynamics and opportunities that we're seeing for the subsequent quarters of this and the following years.

In first Q 2025, we reached a new record of 5.8 million people using our financial services, adding around 532,000 people on a year-over-year comparison, representing a 10.1% growth compared to first Q 2024. As Enrique described in his remarks, the modernization initiatives that we started in past years and the benefits coming from them have allowed GENTERA to deliver very solid results as shown this first Q 2025. One consequence is the amount of our loan portfolio which kept similar historic levels as those of 4Q 2024, amounting to MXN 82.7 billion, representing a 26.3% annual growth compared to first Q 2024. It is important to highlight that our credit subsidiaries, Banco Compartamos and ConCrédito started the year with double-digit annual growth in their specific loan portfolios, while Compartamos Banco in Peru started the year with more growth, but with improving and solid dynamics in its asset quality and profitability levels. With this strong start of the year, we expect to grow the consolidated loan portfolio around 15% in 2025.

Now, let me jump to talk about the evolution of the different lines of our income statement. As anticipated in past conferences, GENTERA's interest income is growing at solid levels, showing a 19.9% growth in first Q 2025 compared to first Q 2024 amounting to MXN 11.2 billion. Net interest income grew 24.3% to now MXN 9.35 billion following the robust growth in portfolio and clients. NIM amounted to 39.5% in first Q 2025, in line with our expectations for the year.

As mentioned by Enrique, we have observed better-than-expected asset quality at the start of the year, both in Mexico and Peru with a cost of risk for first Q 2025, amounting to 11.6%. At this point, we are maintaining our 2025 expected level of cost of risk around 13%, but we will look closely to our June numbers to see if there could be room for improvement. As Enrique mentioned, we will let you know in our next conference call.

GENTERA's 1Q 2025 provision for loan losses amounted to MXN 2.4 billion, implying a 37.6% growth, which is in line with the portfolio growth and its mix. NIM after provisions for first Q 2025 amounted to 29.3% compared to 30.3% in first Q 2024 and slightly above the expectation for the year 2025, which is a number that should be moving around between 28% and 29%. Net fees amounted to MXN 1.337 billion in first Q 2025, compared to MXN 878 million in first Q 2024, representing a 52.3% annual growth. These fees have been mostly driven by better-than-expected results of our insurance business, which, as we have explained in the past, represent around 90% of the collected commissions.

It is also important to continue highlighting the incremental and important contribution that Yastás, a Banco Compartamos branches have in our business model, allowing GENTERA to depend less on third-party channels, therefore reducing fee expenses in relative terms. Operational expenses for first Q 2025 amounted to MXN 5.4

million, representing a 20% increase compared to first Q 2024, mainly explained by a larger base of our sales force, the growth of our business and in line with our strategic initiatives and investments, with the objective to make GENTERA more productive and efficient.

Worth highlighting that given the observed robust growth and solid asset quality, expenses could finalize this year growing closer to 15% instead of the 13% originally guided. But this additional expenses would mostly be sales and incentive payments resulting from our better-than-expected performance. We consider these expenses as productive since they generate a multiplying effect on revenue. Net income in first Q 2025 reached another historic quarter record amounting to MXN 2.221 billion, growing 47% compared to 1Q 2024. GENTERA's portfolio participation of net income amounted to MXN 2.106 billion, representing an EPS of MXN 1.33, 49% above our first quarter 2024 EPS.

For the yearend, we believe that we're going to reach the high end of our EPS guidance with a room for an additional 5% improvement. It is important to note that at this point, we're not changing the range of our EPS guidance, since we want to have additional information on our business trends and macro evolution. We will come back to you in our second quarter report to provide specifics on our full year expectation.

GENTERA's controlling ROE for first Q 2025 stood at 26.3% above our original expectation for the year. For 2025, we would expect controlling ROE to move around 22%, but again with the revision that we will do in the second quarter, we will provide more specifics regarding this line then. All of these results have been achieved, while maintaining solid and healthy liquidity levels, strong and diverse access to funding sources, and a very robust capitalization.

Now, to conclude my remarks. As you can see from the results that we're reaching in this first Q 2025, we're delivering as promised, and we expect to continue reaching double-digit growth in GENTERA's loan portfolio in the coming quarters, while generating solid growth in total revenues. With a healthy cost of risk and operational expenses under control to keep generating positive jaws, that should allow us to keep generating strong levels of profitability.

To conclude, we at GENTERA are very motivated with the fact that we're starting the year with these extraordinary results in our subsidiaries, which are in line and in some cases above the plan that we defined for the year. These results further permit us to continue working hard to service millions of Mexicans and Peruvians and aiming to support them in their financial needs so they can reach their dreams, while at the same time generating sharp value for all. That is all from my remarks. Thank you for all of your attention.

And now we can move forward to the Q&A session.

QUESTION AND ANSWER SECTION

Operator: Thank you. We'll now be conducting a question-and-answer session. If you would like to ask a question, please use the raise your hand button of your Zoom tool.

Enrique Barrera Flores

Investor Relations Officer, Gentera SAB de CV

A

Our first question comes from Ernesto Gabilondo of Bank of America. Please sir, go ahead.

Ernesto Gabilondo

Analyst, Merrill Lynch Mexico SA de CV Casa de Bolsa

Q

Thank you. Hi. Good morning, Enrique and Mario. And Enrique, thanks for the opportunity to ask questions and congrats in your strong first quarter results. I have three questions. The first question will be on ConCrédito. So, just wondering in which quarter can we expect that you will acquire the remaining part of ConCrédito? And what will be the financial options to acquire it? How much would be related to cash or interbank loans?

My second question is on OpEx. Probably, you already answered that you are expecting OpEx growth of around 15%. It was before 13% the guidance, so just want to double check that. And my last question is related to competition. We are starting to see new entrants in the low-income segment, for example, not a typical fintechs but Bimbo, Arca, Walmart, Axa. So just wondering, what are you starting to see in these new entrants and what are GENTERA's initiatives to remain as a leader in the microfinance sector? Thank you.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

A

Thank you, Ernesto. Well, we expect to finalize the acquisition in this second quarter. We expect to – we will only be announce to do when we have the final acquisition contract signed and we will fund the acquisition with a combination of dividends from the subsidiaries and some external funding that will fund GENTERA to purchase the shares. Regarding OpEx, yes, exactly, you're right. We are saying that we expect now that instead of the 13% guidance on OpEx that we gave, it's going to be 15%. But again, as I mentioned, these expenses are mostly related to the sales and the business, so they will have a multiplying effect on revenues. Now, regarding competition, Enrique will probably give.

Enrique Barrera Flores

Investor Relations Officer, Gentera SAB de CV

A

Hi, Ernesto, good morning. Yes, we have been talking in previous calls about competition and the different kind of competitors that we face. And I mean, we have on one room the traditional microfinance competitors. But on the other hand, we have these fintechs and these new models and new companies that want to get into the financial services business. Of course, we always see the new entrants as a good news because if we have more offer for our customers, they will have more convenience and we will have a more strong industry.

I think that the game – the name of the game for any player, a traditional player, a player I saw that we have been here, but we are transforming or new players is convenience and I would be specific here, convenience through technology and that's what we are working for. We are working for developing digital capabilities to give our customers more convenience and to be a more efficient company. And I think that the main challenge has been and will still be the lending knowledge, the knowledge on the lending business. So, I think that we talk about

specifically about the credit products and I mean working capital loans or consumer loans, the challenge here is, how can we be the best specifically in lending and collecting the loans. And well, I think that if we as an industry become more strong on this, we will all win by this.

Ernesto Gabilondo*Analyst, Merrill Lynch Mexico SA de CV Casa de Bolsa*

Perfect. Thank you very much, Enrique and Mario.

Enrique Majós Ramírez*Chief Executive Officer, Gentera SAB de CV*

Thank you.

Operator: Our next question comes from Brian Flores of Citi. Please sir, go ahead.

Brian Flores*Analyst, Citibanamex Casa de Bolsa SA de CV*

Thank you, Enrique, Mario, for the opportunity to ask a question. I wanted to ask you on your guidance. You mentioned you could achieve the upper side of the range with an additional room for 5%. Is this correct? 5% more net income, 5% more growth? Could you specify a bit? And then a follow-up on that question is, of course, if you could guide us through, let's say the profitable levers, what particular item on the income statement is driving these, I would say optimism or your constructive view regarding the guidance? Thank you very much.

Mario Ignacio Langerica Ávila*Chief Financial Officer, Gentera SAB de CV*

Yes, thank you very much. Well, yeah, it's 5% about the EPS level, what we could expect. But again, we want to have the numbers of the first semester in order to be more precise on what will be the new guidance for the year end. Now, regarding the drivers, I think that we have very good dynamics in all the drivers of the net income, starting with obviously first the growth in the portfolio, which drives interest income. Second, interest expenses, we have seen a faster rate reduction from the central bank than originally expected, so that should add to the interest income. Then, we believe that cost of risk is going very well. Therefore, again, as we said, we might also review that number in the second half and things are looking very, very solid, but we need further confirmation. And then again, even though that expenses will be a little higher than originally guided. As just said, these expenses will be completely linked to productive assets, generation. So I think that at this point, all of the drivers of the income statement are showing positive trends.

Brian Flores*Analyst, Citibanamex Casa de Bolsa SA de CV*

Very clear. Thank you and congratulations.

Enrique Barrera Flores*Investor Relations Officer, Gentera SAB de CV*

Thanks.

Operator: Our next question comes from Yuri Fernandes of JP Morgan. Please sir, go ahead.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Thank you, Enrique, Mario and Enrique Barrera also for the question here. And congrats on the quarter. I have a question regarding Peru. Peru was very strong and we saw ROCE returning to 20% for the country, something that we have not been seen for years, right. So, just trying to understand what are the trends here if Peru, it's back to 20% or if we believe Peru is not there yet and we'll go back to mid-teens? That's one.

And just a follow-up on Brian's question on the guidance, right, because you already delivered 13%, you have the tailwind of the G&A as you mentioned. We have the lower rates in Mexico. And we all know that you are a liability sensitive bank, so lower margins help you. So, why not revising the guidance like, are you calling – are you seeing something like on I don't know asset quality or maybe you are going to reduce prices like just trying to understand because after this strong beat, only 5% guidance revisions. I don't know, appear a little bit low. So, just trying to understand the like the moving parts, why not guidance revisions, why not higher EPS for you. Thank you.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

A

Thank you, Yuri, yes. Yes, as Mario said, we have to have a better analysis of the trends that we are looking at in the beginning of the year, we are very positive. And, yeah, I think that the – what we are looking now is that we are having a better margin because we are having a better quality of the portfolio and that is giving us a better income. And so, yeah, those are the main, let's say pieces of the puzzle that obviously show that we are going to revise – go through the guidance and bring maybe a new one in the next quarter.

We will like to give you more detail or color on this because I think that we need to understand a little bit better how the second quarter of the year is going to see or look like, not because of our operations, but mostly because of the context. And that's why we are not able now to give you a specific number. I think that having a new guidance by the second quarter of the year is a reasonable moment to do it and we will go – we'll come back with you with this.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Oh, thank you. It's pretty clear. And what about Peru, is Peru 20% are we back or not yet?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

A

No, I mean it's a quarter effect. Obviously, that's our objective as we have spoken many times. We believe that by the end of the year, we will be going in that trend and probably we will be closing somewhere in the mid-teens. But obviously also that is something that we will be more precise in new numbers when we have a much more solid data to give you more fine expectation.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Okay. Super clear, Mario. Thank you, Mario. Thank you, Enrique.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

A

Thank you.

Operator: Our next question comes from Carlos Gomez Lopez of HSBC. Please sir, go ahead. Please deactivate unmute.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Yes. Sorry, I did not unmute myself. So, I wanted to congratulate you like everybody else, it is an excellent result and there's no question about that. And we also understand that. I do want to see a couple of things before you change the guidance. That's understandable. I have a question, and I don't want to sound too negative, but you are growing your loan portfolio a lot. You're growing to 25%, 26%. Your clients numbers are growing by 5% or 6%. So, your balances with each client are increasing well into the double-digit, I mean close to 20%, which is great I mean this is part of your success here. How much longer can these be sustained? How much more credit can the client base absorb which is another way of asking, I mean, are we going to – I mean are we going to – and I know that you have a 15% guidance for this year which is very reasonable and lower than what you have achieved. What should we expect for 2026, 2027, 2028? At what point do we get into perhaps excessive indebtedness of the clients that you already have? Thank you so much.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Thank you, Carlos. Well, here, the key question is the addressable market. And again, what we have said is that between Mexico and Peru segment CMB, there are around 65 million people above 18 years old that are underserved. So today, we have 5 million people. So, I think that the opportunities to keep growing and expanding and servicing this population is huge and that's our focus. We are not focusing in the original or the tradition method we have had. We are expanding into new segments with new products in the next years to come, so we expect that we will at least hope to keep growing at about 10% in the long-term – long run.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Okay. Does that mean that we should expect more increase in the number of clients in addition to see more increase in the loan portfolio?

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Yes.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Thank you. Thank you so much.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

And Carlos, maybe the other thing. Yeah, I think that the main factor is the one that already Mario mentioned. And I think that also, if we can have a more close relationship with our customer through digital tools, we can have a better understanding of the different products that we can offer them. And I think that that's something that in the future is also going to play a big role in our growth.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Okay. And so perhaps the follow-up there. So, would you say that you are already in a position in which you can accompany your clients as they have more demand and need to get new products? Or do you need to perhaps upgrade the offering to be more like a traditional bank as your clients advance in their net income?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Right now, we are working on – well on our traditional working capital loans, but we also know that they need and they demand the consumer loans. And if you add to this the insurance products and the savings products, we have a big potential there to grow our relationship with them.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Okay. Thank you so much.

Operator: Our next question comes from Pablo Ordóñez of GBM. Please, sir, go ahead.

Pablo Ordóñez Peniche

Analyst, Grupo Bursátil Mexicano SA de CV Casa de Bolsa

Yes. Hi, good morning, Enrique, Mario. Congratulations on your results. I have a couple of questions. First on your fees that mostly come from Yastás. You also mentioned the fees that you're getting from Aterna. This continues to cover super strong performance. What should we expect for the year in terms of growth for this client? And also, what considers to be the also the addressable market now? You mentioned in your report that you have 16 insurance policies out there. You have 5 million clients. So, at what point should we expect the growth of this line to converge to the same growth level of your portfolio? That's my first question.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Okay. Yeah, well, what we have said is that we should be growing our penetration in the insurance products at the high end of the portfolio growth guidance, not something around 16%, 17%. Now, the addressable market is very, very good because if Mexico is underserved in insurance for the base of the – in credit and financial services of the population. In insurance, it's less served. So, there is a big opportunity to keep growing there with new products. As you know, we have expanded, we now have four insurance products that have been a very well accepted by the clients. And I think that there is still a lot of room bringing insurance solutions for our clients. So, I think that we should at least expect to keep growing at the high end of the range of our credit portfolio growth.

Pablo Ordóñez Peniche

Analyst, Grupo Bursátil Mexicano SA de CV Casa de Bolsa

Thank you, Mario. And that's also for 2025, should we expect some convergence to the high end of your portfolio or does it...

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Yes.

Pablo Ordóñez Peniche

Analyst, Grupo Bursátil Mexicano SA de CV Casa de Bolsa

...thinking more like in the medium term?

Q

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

No, good question. Maybe this year we will be a little above, but in the long run we should be growing at the same pace as the portfolio.

A

Pablo Ordóñez Peniche

Analyst, Grupo Bursátil Mexicano SA de CV Casa de Bolsa

Thank you. And my second question is on asset quality. As you mentioned, it is also one of the surprises of the quarter. Your provisioning was lower than you mentioned in the previous call. So, can you give us more color on what are you seeing at the portfolio level? Our understanding was that in the [indiscernible] (00:39:10) loans, are the ones that were requiring higher provisioning. So, can you give us more color on what are you seeing in this first quarter at the portfolio level and also in Peru?

Q

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Yes, well, the way we see a risk is from a bottom-up perspective. What we do is, we start with a weekly payment. And what we have been seeing is outstanding weekly payments from our clients, both in Mexico and Peru. And then that goes all the way up, the weekly payment. Then obviously it reduces the 90-day bonds of past due which are improving and then that also feeds the construction of provisions, whether we observe all of that still implies that we need lower provisions and that improves cost of risk. So, what we're looking at is at the weekly payment that have been performing outstandingly.

A

Pablo Ordóñez Peniche

Analyst, Grupo Bursátil Mexicano SA de CV Casa de Bolsa

Okay. Thank you very much, Mario.

Q

Operator: Our next question comes from Tito Labarta of Goldman Sachs. Please, sir, go ahead.

Tito Labarta

Analyst, Goldman Sachs & Co. LLC

Hi. Good morning. Thanks for the call and taking my questions and congrats also on the results. I guess my question on your loan growth, I know you reiterated the guidance there on 15% which implies sort of a gradual slowdown from here. But in general, I guess two parts to it, right. Given the uncertainty globally, do you think that can have an impact and could there be downside risk because of that and potential impacts on Mexico?

Q

Conversely, given the growth it remains so strong, asset quality has been healthy and maybe some of this uncertainty dies down. Maybe could there also be some upside risk. Just how are you thinking about the upside downside risk to the guidance just given the current uncertainty globally and in Mexico? Thank you.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Very good question, Tito. I mean, that is why we also want to wait until June to have more clarity on all the things that are moving, things are changing day by day. But what doesn't change is the demand that we are seeing and the well performance of the base of the pyramid at current economics. We're seeing that very strong with a lot of lift. But, we also obviously have to be looking to see if any of these macro impacts affects that. So, we need to be very prudent and we want to make sure that these trends sustain by June and then that's why we want to wait a little bit to change some of our guidance lines.

Enrique Majós Ramírez*Chief Executive Officer, Gentera SAB de CV*

A

Yeah. And why do we think that we can have a good year even if under this uncertainty, global uncertainty is because we have to remember that our clients, their business are about very basic products and needs and services. So, that's why the stability that they have in their business is better than let's say average stability of the economy because the demand, as Mario said, is more stable because we are talking about very basic needs on food, on medicines or health kind of services. So, yeah, I'll address what Mario told.

Tito Labarta*Analyst, Goldman Sachs & Co. LLC*

Q

Okay. No, very clear. Thank you.

Operator: Our next question comes from Andres Soto of Santander. Please, sir, go ahead.

Andres Soto*Analyst, Santander Investment Securities, Inc.*

Q

Good morning, Enrique, Mario. Enrique, thank you for the presentation and the opportunity to ask question. My question is a follow-up of – regarding a previous answer that you provided. When I look at your loan growth over the past year, two-thirds of that is explained by increasing debt in existing customers. So, I would like to understand this is the result of you gaining market share from other players. And if that's the answer, who are those other players you are gaining market share from? Is it the result of you feeling more confident about the customers you are lending money and that's why you are putting more and more debt on to them? Or is this the results of a change in the loan mix, probably a higher ticket for the individual lending compared to group lending?

Mario Ignacio Langerica Ávila*Chief Financial Officer, Gentera SAB de CV*

A

Yes. Thank you, Andres. I mean, it's the three of the ones that you said. Let me start with the last. Yeah, number one is the change in the loan mix. As you know, [indiscernible] (00:44:15) is growing at a very strong pace. Second, yes, we feel much more comfortable with our risk assessment tools as Enrique said. I think that a very important change to the one that we did in Mexico in 2023 with the fusion of the group lending products, where we are additionally to the strong group lending methodology, we're incorporating analysis on each person in the group. That is also making us more comfortable on expanding the wallet share of each client and understanding better each specific client on their needs. And yes, also a part of what we're seeing in this growth is the unfortunate exit or reduction of competition, mostly in the traditional microfinance companies. And well that – it's a shame because we will always foster for a better competitive environment and where our clients have more options, but that is also part of it.

Andres Soto*Analyst, Santander Investment Securities, Inc.*

Q

Thank you so much, Mario. Two follow ups there. The first one is, what is your current market share in the microlending space in Mexico?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Sorry. Can you repeat?

Andres Soto

Analyst, Santander Investment Securities, Inc.

Your current market share in microlending in Mexico?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Well, we don't like to talk about that one because that like just putting life – just looking at [ph] loss things where the like is (00:45:52). The size of the demand, it's very large. And that's where we think that our market share, even us being one of the most important players in the industry, it's still low. There is a lot way to go. We got a lot of opportunity to keep expanding in the credit needs of the base of the pyramid. So, again, if we say that we have 5 million clients of a potential 65 million population is we still have a lot to go.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Yeah. And I – just to put numbers on what Mario just told you, but if we have 5 million customers, maybe the potential market for the loan products is around 15 million to 20 million. But if we talk about financial services, we're talking about over 40 million, let's say maybe 50 million people, so yeah, it's large.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Understood. And the second follow-up question is about the individual lending business. Can you remind us the difference in the economics in this business versus your traditional group lending, both in terms of size, average ticket size and profitability metrics such as NIM, cost of risk and efficiency?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Yeah. Well, both products are obviously very well priced. We take a look obviously at the different dynamics of each product. And in average, group lending is MXN 10,000. And the average that we're lending in individual lending is MXN 40,000 to MXN 50,000. But in the individual lending, we have room to expand all.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Yes.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

So, it's obviously, individual lending is a larger loan with a little higher risk profile, but with better cost dynamics and the margins at the end are similar. We don't provide disclosure of those levels.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Understood. So is 50% higher ticket with similar profitability and the difference is between cost of risk and – sorry, margins and efficiency I guess. Margins should be relatively equal, I suppose, right, is should be – the difference should be cost of risk higher offsetting lower efficiency in the case of individual lending, right.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Yes. Yes, Andres.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Perfect. Thank you so much and congratulations again.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Thank you.

Operator: We got a follow-up question of Ernesto Gabilondo of Bank of America. Please, sir, go ahead.

Ernesto Gabilondo

Analyst, Merrill Lynch Mexico SA de CV Casa de Bolsa

Thank you, again. Just a quick question. What would be your assumptions for the interest rate in Mexico for this and next year? And what were you expecting before? And can you remind us your sensitivity to interest rates? I believe this could be another earnings driver for this and next year.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Hi, Ernesto. How are you? This is Enrique. I mean the original prediction for this year and the reference rate was 8.75%. We're still in that level, obviously I know that consensus now is moving towards 8%. So, we have explained during the conference call that would be an additional benefit and that will translate into bottom line, so it was – it is 8.75%. For next year, we are estimating around 7.75%. And also the interest rate sensitivity, as we have explained in different calls with the liabilities that we currently have and considering full year, if there is 100 bps reduction, the benefit would be MXN 580 million before taxes.

Ernesto Gabilondo

Analyst, Merrill Lynch Mexico SA de CV Casa de Bolsa

Perfect. Excellent, Enrique. Thank you very much.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Thank you.

Operator: Once again, if you'd like to ask a question, please use the raise your hand button of your Zoom tool. Our next question comes from [ph] Juan Dominguez of Oritz (00:50:18) Equity Management. Please, sir, go ahead.

Q

Hi, guys. Can you hear me?

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Yeah.

A

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Sure.

A

Q

Hi, guys. Outstanding quarter. Congratulations. Was pretty, pretty impressive. I just have a kind of a strategic question for you guys. You are firing on all cylinders, getting a pretty high ROE. You are pretty much reaping the benefits of the investment that you have made in the past. So, I am just wondering how are you think about pricing going forward. Because it kind of makes sense to kind of share that those benefits with the clients, right, because it will be not only good for the clients, but it will be a moat enhancer for you guys. So, how are you guys thinking that?

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Yeah. That's a very important point that we will review probably by year end on what we are going to do going forward. As we have said in past conference calls, there are couple of things that we need to have seen before taking that next step. The first one is, we need all our subsidiaries to be delivering ROEs above 20%. And as you can see, Peru still has to get there. And second and most important is to see the real numbers of the digitalization of the credit process in Mexico, which we're launching this year. Individual lending, we will finalize the full utilization of the process by mid-year. And we will need to see there how much productivity, and how much efficiency we will get from that. And with all those numbers together with the utilization of group lending, which we will probably finalize in the first quarter of 2026. Then with all of those numbers, we will be very – we will be able to assess how much we can deliver to the different constituencies that we have our clients, our employees and obviously our shareholders. So, it's a very important question that we think that we will be able to answer more precisely by yearend.

A

Q

Perfect. Thank you.

Operator: Thank you. There are no further questions at this time. I would like to hand the floor back over to management for closing comments.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Well, thank you. Thank you for your questions. Thank you for your time. Thank you for this conversation and the conversations that I know we have in different one-on-one meetings. And just to wrap up, let me tell you that we want to confirm you that we are really committed with our purpose of boosting the dreams of our customers through financial solutions and we are committed with them and the rest of the stakeholders for the long run. We promise we will keep pushing to transform and constantly improve the experience of our customers and the performance of our business. And having said that, thank you. Thank you for your trust and your support not only to GENTERA, but also to this management team. We hope you have a nice rest of the day. Thank you so much.

Operator: With this concludes the conference of today. You may now disconnect.

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